BALANCE SHEET As at December 31, 2022

Particulars	Note No.	As at December 31, 2022 Rs. in Crores	As at December 31, 2021 Rs. in Crores
Assets			
Non-current assets			
Property, plant and equipment	3	190.89	171.51
Right-of-use asset	23	66.13	24.26
Capital work-in-progress	3	60.76	50.04
Other intangible assets	3	3.77	5.41
Financial assets			
Investments	4.6	325.00	-
Loans receivable	4.1	0.73	0.91
Other financial assets	4.2	6.52	5.71
Income tax assets (net)	5	56.18	60.00
Deferred tax assets (net)	6	68.55	71.35
Other non-current assets	7	56.67	70.90
Total Non-current assets		**835.20**	**460.09**
Current assets			
Inventories	8	534.44	491.65
Financial assets			
Trade receivables	4.3	350.36	311.65
Cash and cash equivalents	4.4	554.50	184.23
Bank balances other than above	4.5	663.21	1,115.98
Loans receivable	4.1	0.36	0.53
Other financial assets	4.2	22.07	32.14
Other current assets	7	108.87	107.75
Total Current assets		**2,233.81**	**2,243.93**
Total assets		**3,069.01**	**2,704.02**
Equity and liabilities			
Equity			
Equity share capital	9	494.56	494.56
Other equity	10	1,391.47	1,150.95
Total equity		**1,886.03**	**1,645.51**
Liabilities			
Non-current liabilities			
Financial liabilities			
Lease Liabilities	23	41.35	-
Other liabilities	14	3.79	5.68
Provisions	12	18.73	18.50
Total Non-current liabilities		**63.87**	**24.18**
Current liabilities			
Financial liabilities			
Trade payables			
Total outstanding dues of micro enterprises and small enterprises	11.1	23.50	23.93
Total outstanding dues of creditors other than micro enterprises and small enterprises	11.1	655.36	596.72
Lease Liabilities	23	8.60	6.72
Other financial liabilities	11.2	310.46	295.91
Other liabilities	14	74.35	62.15
Provisions	12	33.99	33.05
Current tax liabilities (net)	13	12.85	15.85
Total Current liabilities		**1,119.11**	**1,034.33**
Total equity and liabilities		**3,069.01**	**2,704.02**
Summary of significant accounting policies	2		

The accompanying notes 1 - 36 are an integral part of the financial statements.

As per our report of even date
For Deloitte Haskins & Sells LLP
Chartered Accountants

For and on behalf of Board of Directors
Executive Directors

R Gopalakrishnan Chairman
DIN: 00027858

Sandeep Sangwan Managing Director
DIN: 08617717

Samir R. Shah
Partner

Hemangi Ghag Company Secretary
FCS No: 9329

Deepesh Baxi Chief Financial Officer & Whole time Director
DIN: 02509800

Place: Mumbai
Date: 13 February 2023

STATEMENT OF PROFIT AND LOSS for the year ended December 31, 2022

Particulars	Note No.	For the year ended December 31, 2022 Rs. in Crores	For the year ended December 31, 2021 Rs. in Crores
Income			
Revenue from operations	15	4,774.49	4,192.06
Other income	16	67.05	48.43
Total Income		**4,841.54**	**4,240.49**
Expenses			
Cost of raw and packing materials consumed	17.1	2,278.87	1,879.08
Purchase of traded goods	17.2	249.40	191.85
Changes in inventories of finished goods / traded goods	17.3	(28.35)	(12.11)
Employee benefits expense	18	272.58	231.99
Finance costs	19	4.01	2.41
Depreciation and amortization expense	20	81.39	82.70
Other expenses	21	890.89	835.29
Total Expenses		**3,748.79**	**3,211.21**
Profit Before Tax		**1,092.75**	**1,029.28**
Tax expenses			
Current tax (net of Charge / (reversal) of earlier years - Rs. 10.31 Crores (December 31, 2021 : Rs. 0.69 Crores))		274.49	280.03
Deferred tax	6	3.11	(8.84)
Total tax expenses		**277.60**	**271.19**
Profit after tax		**815.15**	**758.09**
Other comprehensive income / (expenses) not to be reclassified to profit or loss in subsequent period			
Re-measurement gains / (losses) on defined benefit plans		(1.25)	(1.05)
Less : Income tax effect on above		0.31	0.26
Other comprehensive income / (expense) for the year		**(0.94)**	**(0.79)**
Total comprehensive income for the year		**814.21**	**757.30**
Earnings per equity share - Basic and Diluted - Face Value Rs. 5.00 each.	22	8.24	7.66
Summary of significant accounting policies	2		

The accompanying notes 1 - 36 are an integral part of the financial statements.

As per our report of even date
For Deloitte Haskins & Sells LLP
Chartered Accountants

Samir R. Shah
Partner

Place: Mumbai
Date: 13 February 2023

For and on behalf of Board of Directors
Executive Directors

R Gopalakrishnan Chairman
DIN: 00027858

Sandeep Sangwan Managing Director
DIN: 08617717

Hemangi Ghag Company Secretary
FCS No: 9329

Deepesh Baxi Chief Financial Officer & Whole time Director
DIN: 02509800

CASH FLOW STATEMENT for the year ended December 31, 2022

Particulars	Note No.	For the year ended December 31, 2022 Rs. in Crores	For the year ended December 31, 2021 Rs. in Crores
Cash flow from operating activities			
Profit before tax		1,092.75	1,029.28
Adjustments for:			
Depreciation and amortization expenses		81.39	82.70
Loss on disposal / write off of property, plant and equipment and intangible assets (net)		0.32	0.94
Capital work in progress write off		6.07	-
Allowance for doubtful debts written back (net)		0.29	(1.31)
Expense recognised in respect of share based payments		19.78	18.00
Loss/ (gain) on fair valuation of forward contract		(2.86)	2.16
Unrealized foreign exchange (gain) / loss		4.08	0.82
Unrealised gain on Overnight Funds		(0.17)	-
Finance costs		4.01	2.41
Interest income		(45.30)	(36.33)
Net gain on termination of lease contracts		-	0.01
Excess accruals written back		(1.17)	(6.05)
Operating profit before working capital changes		1,159.19	1,092.63
Movements in working capital:			
Decrease / (Increase) in inventories		(42.79)	(124.78)
Decrease / (Increase) in trade and other receivables		(13.58)	(150.54)
Increase / (Decrease) in trade and other payables and provisions		87.07	92.66
Cash generated from / (used in) operations		**1,189.89**	**909.97**
Income tax refund / (payment) (net) (including interest)		(273.98)	(279.76)
Net cash flow from / (used in) operating activities	**(A)**	**915.91**	**630.21**
Cash flow from investing activities			
Purchase of property, plant and equipment (including capital work-in-progress and intangible assets)		(109.71)	(83.21)
Non Current Investment		(325.00)	-
Placement of bank deposits		(803.44)	(1,596.99)
Encashment of bank deposits		1,255.37	1,558.97
Interest received		44.47	38.15
Net cash flow from / (used in) investing activities	**(B)**	**61.69**	**(83.08)**

CASH FLOW STATEMENT for the year ended December 31, 2022 (Contd.)

Particulars	Note No.	For the year ended December 31, 2022 Rs. in Crores	For the year ended December 31, 2021 Rs. in Crores
Cash flow from financing activities			
Dividend paid		(593.47)	(542.47)
Interest paid on other than lease liabilities		(1.16)	(1.19)
Principal payment of lease liabilities		(10.54)	(12.61)
Interest paid on lease liabilities		(2.33)	(1.31)
Net cash flow from / (used in) financing activities	**(C)**	**(607.50)**	**(557.58)**
Net increase / (decrease) in cash and cash equivalents	**(A+B+C)**	370.10	(10.45)
Unrealised gain on Overnight funds		0.17	-
Cash and cash equivalents at the beginning of the year		184.23	194.68
Cash and cash equivalents at the end of the year		**554.50**	**184.23**
Components of cash and cash equivalents			
Balances with banks in current accounts		5.42	11.70
Deposits with banks		368.91	172.53
Overnight funds		180.17	-
Total cash and cash equivalents (note 4.4)		**554.50**	**184.23**

Non cash transactions:

Share value plan:

Equity settled share based payments of Rs. 19.78 Crores (Previous Year: Rs.18 Crores) is expensed over the vesting period with a corresponding adjustment to Other Equity as the cost of such share value plan is borne by the Ultimate Holding Company (refer note 2.6 (d))

Note:

(a) The above Cash Flow Statement has been prepared under the "Indirect Method" as set out in Ind AS 7, 'Statement of Cash Flows'

The accompanying notes 1 - 36 are an integral part of the financial statements.

As per our report of even date
For Deloitte Haskins & Sells LLP
Chartered Accountants

Samir R. Shah
Partner

Place: Mumbai
Date: 13 February 2023

For and on behalf of Board of Directors
Executive Directors

R Gopalakrishnan Chairman
DIN: 00027858

Sandeep Sangwan Managing Director
DIN: 08617717

Hemangi Ghag Company Secretary
FCS No: 9329

Deepesh Baxi Chief Financial Officer & Whole time Director
DIN: 02509800

STATEMENT OF CHANGES IN EQUITY for the year ended December 31, 2022

a) Equity share capital

Rs. in Crores

Particulars	No. of shares	Amount
Balance as at January 1, 2021	**989,122,384**	**494.56**
Changes in equity share capital during the year	-	-
Balance as at December 31, 2021	**989,122,384**	**494.56**
Changes in equity share capital during the year	-	-
Balance as at December 31, 2022	**989,122,384**	**494.56**

b) Other equity

Rs. in Crores

Particulars	Reserves & Surplus			Total Other Equity
	Capital Reserve	Retained Earnings	Share based payment	
Balance as at January 1, 2021	**13.62**	**882.30**	**23.75**	**919.67**
Profit for the year	-	758.09	-	758.09
Recognition of Share based payment charge			18.00	18.00
Other comprehensive Income, net of tax	-	(0.79)	-	(0.79)
Total comprehensive income for the year	**-**	**757.30**	**18.00**	**775.30**
Payment of Dividend	-	(544.02)	-	(544.02)
Balance as at December 31, 2021	**13.62**	**1,095.58**	**41.75**	**1,150.95**
Profit for the year	-	815.15	-	815.15
Recognition of Share based payment charge			19.78	19.78
Other comprehensive Income, net of tax	-	(0.94)		(0.94)
Total Comprehensive Income for the year	**-**	**814.21**	**19.78**	**833.99**
Payment of Dividend	-	(593.47)	-	(593.47)
Balance as at December 31, 2022	**13.62**	**1,316.32**	**61.53**	**1,391.47**

The accompanying notes 1 - 36 are an integral part of the financial statements.

As per our report of even date
For Deloitte Haskins & Sells LLP
Chartered Accountants

Samir R. Shah
Partner

Place: Mumbai
Date: 13 February 2023

For and on behalf of Board of Directors
Executive Directors

R Gopalakrishnan Chairman
DIN: 00027858

Sandeep Sangwan Managing Director
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Hemangi Ghag Company Secretary
FCS No: 9329

Deepesh Baxi Chief Financial Officer & Whole time Director
DIN: 02509800

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

1. Corporate information

Castrol India Limited (the 'Company') is a public limited Company incorporated in India with its registered office at Technopolis Knowledge Park, Mahakali Caves Road, Chakala, Andheri (East), Mumbai–400 093. The equity shares of the Company are listed on two recognised stock exchanges in India. The Company is principally engaged in the business of manufacturing & marketing of automotive and industrial lubricants and related services.

2. Significant accounting policies

2.1. Basis of preparation

The Statement of Compliance with Indian Accounting Standards (Ind AS): The financial statements have been prepared in accordance with Ind AS notified under the Companies (Indian Accounting Standards) Rules, 2015 as amended and notified under Section 133 of the Companies Act, 2013 ("the Act") and other relevant provisions of the Act and other accounting principles generally accepted in India.

2.2. Use of estimates and judgements

The preparation of financial statements requires management to make judgments, estimates and assumptions in the application of accounting policies that affect the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates. Continuous evaluation is done on the estimation and judgments based on historical experience and other factors, including expectations of future events that are believed to be reasonable. Revisions to accounting estimates are recognised prospectively.

2.3. Critical accounting estimates, judgments and assumptions

A. Useful lives and residual values of property, plant and equipment

Property, plant and equipment represent a material portion of the Company's asset base. The periodic charge of depreciation is derived after estimating useful life of an asset and expected residual value at the end of its useful life. The useful lives and residual values of assets are estimated by the management at the time the asset is acquired and reviewed periodically, including at each financial year end. The lives are based on various external and internal factors including historical experience, relative efficiency and operating costs and change in technology.

B. Income taxes

The Company's tax jurisdiction is India. Significant judgments are involved in determining the provision for income taxes including amounts to be recovered or paid for uncertain tax positions. Management judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits.

C. Defined benefit obligations

Defined benefit obligations are measured at fair value for financial reporting purposes. Fair value determined by actuary is based on actuarial assumptions. Management judgement is required to determine such actuarial assumptions. Such assumptions are reviewed annually using the best information available with the Management.

D. Contingencies

In the normal course of business, contingent liabilities may arise from litigation and other claims against the Company. Management judgment is required to determine the potential liabilities that are possible or remote but not probable of crystalizing or cannot be measured with sufficient reliability. Such liabilities are disclosed in the notes as contingent liabilities, unless the possibility of an outflow of resources embodying economic benefits is remote in Management's judgment.

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

2. Significant accounting policies *(Contd.)*

2.4. Recent accounting pronouncements

Standard issued that are not yet effective

On 23rd March, 2022, Ministry of Corporate Affairs has amended the Companies (Indian Accounting Standards) Amendment Rules, 2022, applicable to the Company for the financial year starting January 1, 2023, as below:

a. Ind AS 109: Annual Improvements to Ind AS (2021)

The amendment clarifies which fees an entity includes when it applies the '10 percent' test of Ind AS 109 in assessing whether to derecognize a financial liability. The Company does not expect the amendment to have any impact on its financial statements.

b. Ind AS 103: Reference to Conceptual Framework

The amendment specifies that to qualify for recognition as part of applying the acquisition method, the identifiable assets acquired, and liabilities assumed must meet the definitions of assets and liabilities in the Conceptual Framework for Financial Reporting under Indian Accounting Standards (Conceptual Framework) issued by the Institute of Chartered Accountants of India at the acquisition date. These changes do not significantly change the requirements of Ind AS 103. The Company does not expect the amendment to have any impact on its financial statements.

c. Ind AS 37: Onerous Contracts - Costs of Fulfilling a Contract

The amendments specify that the 'cost of fulfilling' a contract comprises the 'costs that relate directly to the contract'. Costs that relate directly to a contract can either be incremental costs of fulfilling that or an allocation of other costs that relate directly to fulfilling contracts. The Company does not expect the amendment to have any impact on its financial statements.

d. Ind AS 16: Proceeds before intended use

The amendment clarifies that excess of net sale proceeds of items produced over the cost of testing while preparing the asset for its intended use (if any), shall not be recognised in the profit or loss but deducted from the directly attributable cost considered as part of cost of an item PPE. The Company does not expect the amendment to have any material impact on its financial statements.

e. Ind AS 41 – Agriculture

The amendment removes requirements to use pre-tax cash flows when measuring fair value of biological assets. The Company does not expect the amendment to have any impact on its financial statements.

f. Ind AS 101, First-time adoption of Indian Accounting Standards

The amendment aims to simplify application of Ind AS 101 for a subsidiary that becomes a first-time adopter of Indian Accounting Standards later than its parent. The Company does not expect the amendments to have any impact on its financial statements.

2.5. Summary of significant accounting policies

a. Current versus non-current classification

An asset is treated as current when it is:

- Expected to be realised or intended to be sold or consumed in normal operating cycle
- Held primarily for the purpose of trading
- Expected to be realised within twelve months after the reporting period, or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

2. Significant accounting policies *(Contd.)*

All other assets are classified as non-current.

A liability is current when:

- It is expected to be settled in normal operating cycle
- It is held primarily for the purpose of trading
- It is due to be settled within twelve months after the reporting period, or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The Company classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

The operating cycle is the time between the acquisition of assets for processing and their realisation in cash and cash equivalents. The Company has identified twelve months as its operating cycle.

b. Revenue recognition

Revenue

Revenue from contracts with customers is recognised on transfer of control of promised goods or services to a customer at an amount that reflects the consideration to which the Company is expected to be entitled to in exchange for those goods or services.

Revenue towards satisfaction of a performance obligation is measured at the amount of transaction price (net of variable consideration) allocated to that performance obligation. The transaction price of goods sold, and services rendered is net of variable consideration on account of discounts offered by the Company as part of the contract. This variable consideration is estimated based on the expected value of outflow. Revenue (net of variable consideration) is recognised only to the extent that it is highly probable that the amount will not be subject to significant reversal when uncertainty relating to its recognition is resolved.

Sale of products

Revenue from sale of products is recognized when the control on the goods have been transferred to the customer. The performance obligation in case of sale of product is satisfied at a point in time i.e., when the material is shipped to the customer or on delivery to the customer, as may be specified in the contract.

Income from services

Revenue from services is recognized over time by measuring progress towards satisfaction of performance obligation for the services rendered. The Company uses input method for measurement of revenue from services as it is directly linked to the expenses incurred by the Company.

Interest income

Interest income is recorded using the Effective Interest Rate (EIR) for debt instruments carried at amortised cost. EIR is the rate that exactly discounts the estimated future cash receipts over the expected life of the financial instrument to the gross carrying amount of the financial asset.

c. Foreign currencies

Functional currency

The functional currency of the Company is the Indian rupee. These financial statements are presented in Indian rupees (rounded off to Crores).

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

2. Significant accounting policies *(Contd.)*

Transactions and balances

Foreign currency transactions are recorded in the functional currency by applying to the foreign currency amount the exchange rate between the functional currency and the foreign currency at the date of the transaction. All foreign currency monetary assets and monetary liabilities as at the Balance Sheet date are translated into the functional currency at the applicable exchange rates prevailing on that date. All exchange differences arising on translation, are recognised in the Statement of Profit and Loss. Non-monetary assets and non-monetary liabilities denominated in foreign currency and measured at historical cost are translated at the exchange rate prevalent at the date of the transaction.

Gain or losses upon settlement of foreign currency transactions are recognized in the Statement of Profit and Loss for the period in which the transaction is settled.

d. Retirement and other employee benefits

Gratuity

The Company provides for gratuity, a defined benefit retirement plan ('the Gratuity Plan') covering eligible employees. The Gratuity Plan provides a lump-sum payment to vested employees at retirement, death, incapacitation or termination of employment, of an amount based on respective employee's salary and tenure of employment with the Company.

Liabilities with regard to Gratuity Plan are determined by actuarial valuation, performed by an independent actuary, at each Balance Sheet date using projected unit credit method. The Company fully contributes all ascertained liabilities to the Castrol India Limited Employees' Gratuity Fund Trust ('the Trust'). Trustees administer contributions made to the Trusts and contributions are invested in insurance and deposit schemes.

The Company recognises the net obligation of a defined benefit plan in its Balance Sheet as an asset or liability.

Gains and losses through remeasurements of the net defined benefit liability/(asset) are recognised in other comprehensive income. The actual return of the portfolio of plan assets, in excess of the yields computed by applying the discount rate used to measure the defined benefit obligation is recognised in other comprehensive income. The effect of any plan amendments is recognised in net profit in Statement of Profit and Loss.

Superannuation

Certain employees of the Company are participants in a defined contribution plan. The Company has no further obligations to the plan beyond its monthly contributions which are periodically contributed to the Castrol India Limited Staff Pension Fund, the corpus of which is invested with the Life Insurance Corporation of India and Bajaj Allianz Life Insurance Co. Ltd.

Provident fund

Eligible employees of the Company receive benefits from a Provident fund, which is defined benefit plan. Both the eligible employees and the Company make monthly contributions to the provident fund equal to a specified percentage of the covered employee's salary. The Company contributes a portion to the Castrol India Limited Employees' Provident Fund Trust ('The PF trust'). The PF trust invests in specific designated instruments as permitted by Indian Law. The rate at which the annual interest is payable to the beneficiaries by the PF trust is being administrated by the Government. The Company has an obligation to make good the shortfall, if any, between the return from the investments of the PF trust and the notified interest rate.

Compensated absences

The Company has a policy on compensated absences which is applicable to its executives joined upto a specified period and all workers. The expected cost of accumulating compensated absences is determined by actuarial valuation performed by an independent actuary at each Balance Sheet date using projected unit credit method on the additional amount expected to be paid/availed as a result of the unused entitlement that has accumulated at the Balance Sheet date.

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

2. Significant accounting policies *(Contd.)*

Termination benefits

Termination benefits, in the nature of voluntary retirement benefits or termination benefits arising from restructuring, are recognised in the Statement of Profit and Loss. The Company recognises termination benefits at the earlier of the following dates:

a) when the Company can no longer withdraw the offer of those benefits; or

b) when the Company recognises costs for a restructuring that is within the scope of Ind AS 37: Provisions, Contingent Liabilities and Contingent Assets and involves the payment of termination benefits.

Share-based compensation

Share value plan

BP PLC ("Ultimate Holding Company") has a "Share Value Plan" whereby the specified employees of its subsidiaries are granted restricted share units of Ultimate Holding Company. Each restricted share unit represents a conditional entitlement to receive one share of Ultimate Holding Company in future, provided that certain terms and conditions are met. The main terms and conditions are a) continuous employment with the BP group until the end of restricted period and b) achievement of certain performance targets by the employee and/or BP Group. The cost of equity-settled transactions with employees is measured by reference to the fair value of the equity instruments on the date on which they are granted and is recognised as an expense over the restricted period. A corresponding credit is recognised within equity since the cost of such share value plan is borne by the Ultimate Holding Company.

Restricted share unit and options

BP PLC ("Ultimate Holding Company") has a "One time reinvent plan" whereby all the employees of its subsidiaries are granted restricted share units of Ultimate Holding Company. Each restricted share unit represents a conditional entitlement to receive one share of Ultimate Holding Company in future, provided that certain terms and conditions are met. Each Option consist of a defined number of shares of ultimate holding company (lot) at a fixed price with a condition entitlement to sell the lot of shares in future after the vesting period

The main terms and conditions are a) continuous employment with the BP group until the end of vesting period and b) achievement of certain performance targets by the employee and/or BP Group. The cost of equity-settled transactions with employees is measured by reference to the fair value of the equity instruments on the date on which they are granted and is recognized as an expense over the vesting period. A corresponding credit is recognized within equity since the cost of such share value plan is borne by the Ultimate Holding Company

Share match plan

The Ultimate Holding Company has a "Share Match Plan" whereby all executive employees of its subsidiaries have been given a right to purchase the shares of Ultimate Holding Company upto a specified amount. Every employee who opts for the scheme contributes by way of payroll deduction a specified amount towards purchase of share. The Company contributes equal amount and charges it to employee benefits expense.

Other employee benefits

Short term employee benefits are recognised as an expense at the undiscounted amount in the Statement of Profit and Loss of the year in which the related service is rendered.

Redundancy Expenses are fully charged to the Statement of Profit and Loss in the year in which they accrue.

e. Taxes

Income tax expense comprises current income tax and deferred income tax. Income tax expense is recognised in the Statement of Profit and Loss except to the extent it relates to items recognised directly in equity, in which case it is recognised in other comprehensive income or other equity as the case may be.

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

2. Significant accounting policies *(Contd.)*

Current income tax

Current tax is the amount of tax payable based on the taxable profit for the year as determined in accordance with the applicable tax rates and the provisions of the Income Tax Act, 1961. The current tax year for the Company being the year ending March 31, the provision for taxation for the year is aggregate of the provision made for the three months ended on March 31, 2022 and the provision for the remaining period of nine months ending on December 31, 2022. The provision for the remaining period of nine months has been arrived at by applying the applicable tax rate of the financial year 2022-23 to Profit Before Tax of the said period

Deferred tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the Financial Statements and the corresponding tax bases used in the computation of taxable profits.

Deferred tax liabilities are generally recognised for all taxable temporary differences. Deferred tax assets are recognised for all deductible temporary differences, the carry forward of unused tax credits and any unused tax losses to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised. Such deferred tax assets and liabilities are not recognised if the temporary difference arises from the initial recognition (other than in a business combination) of assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised.

Unrecognised deferred tax assets are re-assessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off tax assets against tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

f. Property, plant and equipment

Property, plant and equipment are stated at cost, net of accumulated depreciation and accumulated impairment losses, if any. The cost comprises the purchase price, including import duties and non-refundable purchase taxes (Net of taxes credit wherever applicable) and any attributable cost of bringing the assets to its working condition for its intended use. Such cost also includes the cost of replacing part of the Property, plant and equipment and borrowing costs for long-term construction projects if the recognition criteria are met. When significant parts of Property, plant and equipment are required to be replaced at intervals, the Company depreciates them separately based on their specific useful lives. Likewise, when a major inspection is performed, its cost is recognised in the carrying amount of the Property, plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognised in statement of profit and loss as incurred.

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

2. Significant accounting policies *(Contd.)*

Depreciation on Property, plant and equipment is calculated on a straight-line basis, from the month of addition, using the estimated useful lives based on single shift, as specified in schedule II to the Companies Act, 2013, except in respect of the following assets:

Assets description	Useful life as per management (as technically assessed)	Useful life under schedule II
Residential and office buildings	5 years to 30 years	60 years
Plant and machinery	2 years to 21 years	15 years
Computers	3 years to 6 years	3 years
Equipment board with dealers	3 years	10 years
Furniture and fixtures	2 years to 15 years	10 years
Motor vehicles	4 years to 10 years	8 years
Laboratory equipment	5 years to 21 years	10 years

The residual values, useful lives and methods of depreciation of Property, plant and equipment are reviewed at the end of each reporting period and adjusted prospectively, if appropriate.

g. Intangible assets

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses. Internally generated intangibles are not capitalised and the related expenditure is reflected in statement of profit and loss in the period in which the expenditure is incurred.

Intangible assets are amortised over the useful economic life i.e. 4-5 years based on management assessment and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are considered to modify the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets is recognised in the statement of profit and loss.

h. Leases

The Company, at the inception of a contract, assesses whether a contract is, or contains a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. A lessee recognises a right-of-use ("ROU") asset representing its right to use the underlying asset and a lease liability representing its obligation to make lease payments.

Also, the Company has elected not to recognise right-of-use of assets and lease liabilities for short term leases that have a lease term of 12 months or less and leases of low value assets. The Company recognizes the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

The right-of-use assets are initially recognised at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or prior to the commencement date of the lease plus any initial direct costs less any lease incentives. They are subsequently measured at cost less accumulated depreciation and impairment losses, if any. Right-of-use assets are depreciated from the commencement date on a straight-line basis over the shorter of the lease term and useful life of the underlying asset. The lease liability is initially measured at the present value of the future lease payments. The lease payments are discounted using the interest rate implicit in the lease or, if not readily determinable, using the incremental borrowing rates. The lease liability is subsequently remeasured by increasing the carrying amount to reflect interest on the lease liability, reducing the carrying amount to reflect the lease payments made.

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

2. Significant accounting policies *(Contd.)*

A lease liability is remeasured, with a corresponding adjustment to the ROU asset, upon the occurrence of certain events such as a change in the lease term or a change in an index or rate used to determine lease payments.

Lease liabilities and ROU assets have been separately presented in the Balance Sheet and lease payments have been classified as financing cash flows.

i. Inventories

Inventories consist of raw and packing materials, stock-in-trade and finished goods. Inventories are valued at lower of cost and net realisable value. Cost of inventories is determined on weighted average basis. Cost of manufactured finished goods and work-in-progress includes material cost determined on weighted average basis and also includes an appropriate portion of allocable overheads. Cost of traded goods includes cost of purchase and other cost incurred in bringing the inventories to the present location and condition. Due allowances are made in respect of slow moving, non-moving and obsolete inventories based on estimate made by management.

j. Impairment of non-financial assets

The carrying amount of assets are reviewed for impairment at the end of each reporting date if there is any indication of impairment based on internal/external factor. An impairment loss is recognised in the statement of profit and loss wherever the carrying amount of an asset exceeds its recoverable amount. The recoverable amount is the greater of the asset's or cash generating unit's fair value less cost of disposal and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and risks specific to the asset. In determining fair value, recent market transactions are taken into account.

The business plans which are approved on an annual basis by senior management are the primary source of information for the determination of value in use. As an initial step in the preparation of these plans, various assumptions regarding market conditions, and cost inflation rates are set by senior management. These assumptions take account of existing prices and other macro economic factors and historical trends and variability.

Impairment losses including impairment on inventories are recognised in the statement of profit and loss, except for previously revalued tangible assets, where the revaluation was taken to revaluation reserve. In this case, the impairment is also recognised in the revaluation reserve up to the amount of any previous revaluation.

After impairment, depreciation is provided on the revised carrying amount of the asset over its remaining useful life. A previously recognised impairment loss is increased or reversed depending on changes in circumstances. However, the carrying value after reversal is not increased beyond the carrying value that would have prevailed by charging usual depreciation if there was no impairment. Such reversal is recognised in the statement of profit and loss.

k. Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to a provision is presented in the statement of profit and loss.

l. Financial instruments

a) Non-derivative financial instruments:

Initial recognition and measurement

All financial assets and liabilities are initially recognised at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and liabilities, which are not at fair value through profit or loss, are adjusted to the fair value on initial recognition. Purchase and sale of financial assets are recognised using trade date accounting.

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

2. Significant accounting policies *(Contd.)*

Subsequent measurement

Financial assets carried at amortised cost

A financial asset is measured at amortised cost if it is held within a business model whose objective is to hold the asset in order to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at fair value through other comprehensive income (FVOCI)

A financial asset is measured at FVOCI if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding and which are not held for trading.

For equity instrument, the Company may make irrevocable election to present such investments at FVOCI. The Company makes such election on an instrument-by-instrument basis. Pursuant to such irrevocable option, changes in fair value are recognised in the OCI and is subsequently not reclassified to the statement of profit and loss.

Financial assets at fair value through profit or loss (FVTPL)

A financial asset which is not classified in any of the above categories are measured at FVTPL.

Financial liabilities

All financial liabilities are subsequently measured at amortised cost using the effective interest method or at FVTPL.

b) Derivative financial instruments

The Company enters into foreign exchange forward contracts to manage its foreign exchange rate risks.

Derivatives are initially recognised at fair value at the date the derivative contracts are entered into and are subsequently remeasured to their fair value at the end of each reporting period. The resulting gain or loss is recognised in statement of profit and loss immediately.

Derecognition of financial instruments

Financial assets

The Company derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another party. If the Company neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Company recognises its retained interest in the asset and an associated liability for amounts it may have to pay. If the Company retains substantially all the risks and rewards of ownership of a transferred financial asset, the Company continues to recognise the financial asset and also recognises a collateralised borrowing for the proceeds received.

On derecognition of a financial asset in its entirety, the difference between the asset's carrying amount and the sum of the consideration received and receivable and the cumulative gain or loss that had been recognised in other comprehensive income and accumulated in equity is recognised in statement of profit and loss if such gain or loss would have otherwise been recognised in statement of profit and loss on disposal of that financial asset.

Financial liabilities

The Company derecognises financial liabilities when, and only when, the Company's obligations are discharged, cancelled or have expired. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in profit or loss.

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

2. Significant accounting policies *(Contd.)*

Impairment of financial assets

The Company applies the expected credit loss model for recognising impairment loss on financial assets measured at amortised cost, debt instruments at FVOCI, lease receivables, trade receivables, other contractual rights to receive cash or other financial asset not designated as at FVTPL.

Expected credit losses are the weighted average of credit losses with the respective risks of default occurring as the weights. Credit loss is the difference between all contractual cash flows that are due to the Company in accordance with the contract and all the cash flows that the Company expects to receive (i.e. all cash shortfalls), discounted at the original effective interest rate. The Company estimates cash flows by considering all contractual terms of the financial instrument through the expected life of that financial instrument.

The Company measures the loss allowance for a financial instrument at an amount equal to the lifetime expected credit losses if the credit risk on that financial instrument has increased significantly since initial recognition. If the credit risk on a financial instrument has not increased significantly since initial recognition, the Company measures the loss allowance for that financial instrument at an amount equal to 12 months expected credit losses. 12 months expected credit losses are portion of the lifetime expected credit losses and represent the lifetime cash shortfalls that will result if default occurs within the 12 months after the reporting date and thus, are not cash shortfalls that are predicted over the next 12 months.

If the Company measured loss allowance for a financial instrument at lifetime expected credit loss model in the previous period, but determines at the end of a reporting period that the credit risk has not increased significantly since initial recognition due to improvement in credit quality as compared to the previous period, the Company again measures the loss allowance based on 12 months expected credit losses.

When making the assessment of whether there has been a significant increase in credit risk since initial recognition, the Company uses the change in the risk of a default occurring over the expected life of the financial instrument instead of the change in the amount of expected credit losses. To make that assessment, the Company compares the risk of a default occurring on the financial instrument as at the reporting date with the risk of a default occurring on the financial instrument as at the date of initial recognition and considers reasonable and supportable information, that is available without undue cost or effort, that is indicative of significant increases in credit risk since initial recognition.

For trade receivables or any contractual right to receive cash or another financial asset that result from transactions that are within the scope of Ind AS 115, the Company always measures the loss allowance at an amount equal to lifetime expected credit losses.

Further, for the purpose of measuring lifetime expected credit loss allowance for trade receivables, the Company has used a practical expedient as permitted under Ind AS 109. This expected credit loss allowance is computed based on a provision matrix which takes into account historical credit loss experience and adjusted for forward looking information.

m. Cash and cash equivalents

Cash and cash equivalents in the balance sheet comprise cash at banks and on hand, investment in overnight funds and short-term deposits with an original maturity of three months or less, which are subject to an insignificant risk of changes in value. As part of the Company's cash management policy to meet short- term cash commitments, it parks its surplus funds in overnight funds that are held for a period of three months or less from the date of acquisition. These funds are open-ended debt funds that are readily convertible into known amounts of cash and are subject to insignificant risk of changes in value. For the purpose of the statement of cash flows, cash and cash equivalents consist of cash and short-term deposits, as defined above, as they are considered an integral part of the Company's cash management.

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

2. Significant accounting policies *(Contd.)*

n. Earnings per share

Basic earnings per share is calculated by dividing the net profit or loss for the year attributable to equity shareholders (after deducting attributable taxes) by the weighted average number of equity shares outstanding during the year. The weighted average number of equity shares outstanding during the year is adjusted for events of bonus issue; bonus element in a rights issue to existing shareholders; share split; and reverse share split (consolidation of shares). For the purpose of calculating diluted earnings per share, the net profit or loss for the year attributable to equity shareholders and the weighted average number of shares outstanding during the year are adjusted for the effects of all dilutive potential equity shares.

o. Cash dividend

The Company recognises a liability to make cash distributions to equity holders when the distribution is authorised and the distribution is no longer at the discretion of the Company. As per the corporate laws in India, a distribution is authorised when it is approved by the shareholders. A corresponding amount is recognised directly in equity.

p. Contingent liabilities

A contingent liability is a possible obligation that arises from past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the Company or a present obligation that is not recognised because it is not probable that an outflow of resources will be required to settle the obligation. A contingent liability also arises in extremely rare cases where there is a liability that cannot be recognised because it cannot be measured reliably. The Company does not recognise a contingent liability but discloses its existence in the financial statements, unless the possibility of an outflow of resources embodying economic benefits is remote.

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

3. Property, plant and equipment, Capital work-in-progress and Intangible assets

Rs. in Crores

Particulars	As at December 31, 2022	As at December 31, 2021
A. Carrying amounts		
Tangible Assets		
Freehold Land	3.92	3.92
Leasehold Land	-	-
Building (Including Leasehold Improvements)	42.37	36.96
Plant & equipment	55.15	50.84
Laboratory Equipment	11.98	12.22
Computer Hardware	0.62	1.92
Furniture & Fixture	74.81	62.71
Office Equipment	1.95	2.83
Motor Vehicles	0.09	0.11
	190.89	**171.51**
Intangible Assets		
Computer Software	3.77	5.41
B. Capital work-in-progress (Refer Note 1 and Note 2)	**60.76**	**50.04**

Rs. in Crores

	Freehold Land	Building (Including Leasehold Improvements)	Plant & equipment	Laboratory Equipment	Computer Hardware	Furniture & Fixture	Office Equipment	Motor Vehicles	Computer Software	Total
Cost										
Balance at January 1, 2021	**3.92**	**58.55**	**143.40**	**20.67**	**8.99**	**117.27**	**8.91**	**0.22**	**11.61**	**373.54**
Additions	-	3.22	6.48	2.29	0.24	55.20	0.73	-	5.55	73.71
Disposals	-	0.88	2.68	-	0.62	48.61	0.03	-	0.34	53.16
Balance at December 31, 2021	**3.92**	**60.89**	**147.20**	**22.96**	**8.61**	**123.86**	**9.61**	**0.22**	**16.82**	**394.09**
Additions	-	9.19	20.55	2.34	0.14	54.87	0.53	-	0.07	87.69
Disposals	0.01	0.01	3.17	0.04	0.70	38.85	1.69	-	-	44.47
Balance at December 31, 2022	**3.91**	**70.07**	**164.58**	**25.26**	**8.05**	**139.88**	**8.45**	**0.22**	**16.89**	**437.31**
Accumulated depreciation										
Balance at January 1, 2021	**-**	**20.22**	**81.27**	**8.42**	**5.59**	**68.17**	**5.36**	**0.09**	**9.86**	**198.98**
Additions	-	4.13	17.51	2.32	1.41	41.56	1.45	0.02	1.78	70.18
Disposals	-	0.42	2.42	-	0.45	48.58	0.03	-	0.23	52.13
Balance at December 31, 2021	**-**	**23.93**	**96.36**	**10.74**	**6.55**	**61.15**	**6.78**	**0.11**	**11.41**	**217.03**
Additions	-	3.78	16.09	2.58	1.37	42.73	1.33	0.02	1.71	69.61
Disposals	-	0.01	3.02	0.04	0.63	38.81	1.61	-	-	44.12
Balance at December 31, 2022	**-**	**27.70**	**109.43**	**13.28**	**7.29**	**65.07**	**6.50**	**0.13**	**13.12**	**242.52**
Impairment Loss [refer Note a]										
Balance at January 1, 2021	**-**	**-**	**-**	**-**	**0.23**	**-**	**-**	**-**	**-**	**0.23**
Additions	-	-	-	-	-	-	-	-	-	-
Disposals	-	-	-	-	0.09	-	-	-	-	0.09
Balance at December 31, 2021	**-**	**-**	**-**	**-**	**0.14**	**-**	**-**	**-**	**-**	**0.14**
Additions	-	-	-	-	-	-	-	-	-	-
Disposals	-	-	-	-	-	-	-	-	-	-
Balance at December 31, 2022	**-**	**-**	**-**	**-**	**0.14**	**-**	**-**	**-**	**-**	**0.14**
Carrying amounts										
Balance at January 1, 2021	**3.92**	**38.33**	**62.13**	**12.25**	**3.17**	**49.10**	**3.55**	**0.13**	**1.75**	**174.33**
Additions	-	3.22	6.48	2.29	0.24	55.20	0.73	-	5.55	73.71
Depreciation / Impairment	-	4.13	17.51	2.32	1.41	41.56	1.45	0.02	1.78	70.18
Disposals (net)	-	0.46	0.26	-	0.08	0.03	-	-	0.11	0.94
Balance at December 31, 2021	**3.92**	**36.96**	**50.84**	**12.22**	**1.92**	**62.71**	**2.83**	**0.11**	**5.41**	**176.92**
Additions	-	9.19	20.55	2.34	0.14	54.87	0.53	-	0.07	87.69
Depreciation / Impairment	-	3.78	16.09	2.58	1.37	42.73	1.33	0.02	1.71	69.61
Disposals (net)	-	-	0.15	-	0.07	0.04	0.08	-	-	0.34
Balance at December 31, 2022	**3.92**	**42.37**	**55.15**	**11.98**	**0.62**	**74.81**	**1.95**	**0.09**	**3.77**	**194.66**
Capital work in progress movement										
Balance at January 1, 2021										**43.54**
Addition during the year										80.21
Capitalised during the year										73.71
Balance at December 31, 2021										**50.04**
Addition during the year										104.48
Capitalised during the year										87.69
Capital work in progress write off										6.07
Balance at December 31, 2022										**60.76**

Notes :

(a) Impairment Loss is recognized in the statement of Profit and Loss under "Impairment on property, plant and equipment and other intangible assets".

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

3. Property, plant and equipment, Capital work-in-progress and Intangible assets *(Contd.)*

Note 2

B. Capital work-in-progress

Particulars	As at December 31, 2022 Rs. in Crores		As at December 31, 2021 Rs. in Crores	
	Projects in progress	Projects Temporary suspended*	Projects in progress	Projects Temporary suspended
Less than 1 year	56.26	-	39.65	-
1 - 2 year	3.74	-	6.76	-
2 - 3 year	0.76	-	2.78	-
More than 3 years	-	-	0.85	-
	60.76	**-**	**50.04**	**-**

Projects with cost overrun/timeline delayed as of 31-Dec-22

Particulars	As at December 31, 2022				As at December 31, 2021			
	Less than 1 year	1 - 2 year	2 - 3 year	More than 3 years	Less than 1 year	1 - 2 year	2 - 3 year	More than 3 years
1.Project 1	0.24	-	-	-	-	11.70		
2.Project 2	1.47	-	-	-	-	-		
3.Project 3	22.85	-	-	-	-	4.03		
4.Project 4	-	-	-	-	6.06	-		
5.Project 5	3.60	-	-		-	-		
6.Others	4.51	-	-	-	5.93	0.01		
Total	**32.67**	**-**	**-**	**-**	**11.99**	**15.74**	**-**	**-**

4. Financial assets

(Unsecured, considered good, unless otherwise stated)

4.1 Loans receivable

Particulars	As at December 31, 2022 Rs. in Crores	As at December 31, 2021 Rs. in Crores
Non-Current		
Loans receivable Considered good- Unsecured		
Loans to employees *	0.73	0.91
	0.73	**0.91**
Current		
Loans receivable Considered good- Unsecured		
Loans to employees	0.36	0.53
	0.36	**0.53**

* Includes Rs. 0.02 Crores (December 31, 2021 : Rs. Nil) to key managerial personnel.

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

4. Financial assets *(Contd.)*

4.2 Other financial assets

Financial assets carried at amortized cost

Particulars	As at December 31, 2022 Rs. in Crores	As at December 31, 2021 Rs. in Crores
Non Current		
Advance to Customers - Rebate		
- Considered good	-	-
- Considered Doubtful	4.29	4.29
	4.29	**4.29**
Less : Allowance for doubtful advances	(4.29)	(4.29)
	-	**-**
Security deposits #	6.52	5.71
	6.52	**5.71**
Current		
Rebates receivable	7.57	18.15
Interest accrued on bank deposits	13.41	12.58
Derivative instruments at fair value through Profit or loss		
Derivatives not designated as hedges		
Foreign exchange forward contracts *	0.91	-
Security deposits #	0.18	1.41
	22.07	**32.14**

Security deposit are non interest bearing and recoverable at the termination of contract unless otherwise agreed

* While the Company entered into forward contracts with the intention of reducing the foreign exchange risk of expected purchases, these contracts are not designated in hedge relationships and are measured at fair value through profit or loss.

4.3 Trade receivables *# (Refer note 28)

Particulars	As at December 31, 2022 Rs. in Crores	As at December 31, 2021 Rs. in Crores
Current		
Trade receivables Considered good - Secured ##	98.59	73.85
Unsecured		
Trade receivables Considered good - Unsecured	251.77	237.80
Trade receivables - Considered Doubtful	8.09	7.85
Less : Allowance for doubtful debts	8.09	7.85
	251.77	**237.80**
	350.36	**311.65**

Movement in the allowance of doubtful debts during the year

Particulars	As at December 31, 2022 Rs. in Crores	As at December 31, 2021 Rs. in Crores
Balance at the beginning of the year	**7.85**	**11.84**
Add: Allowance created during the year	1.23	1.23
Less: Reversal of allowance during the year	(0.94)	(2.54)
Less: Amount Written back during the year	(0.05)	(2.68)
Balance at end of the year	**8.09**	**7.85**

* Refer note no. 28 for related party receivables.

The average credit period ranges from 1 to 90 days. Interest is charged at 24% p.a. on the overdue balance.

Secured by deposits and bank guarantees from customers.

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

4. Financial assets *(Contd.)*

As at December 31, 2022	Undisputed Trade receivables		Disputed Trade receivables	
	Considered Good	Considered Doubtful	Considered Good	Considered Doubtful
Unbilled	5.68	-	-	-
Not Due	331.71	-	-	-
Less than 6 months	12.97	0.30	-	-
6months - 1 year	-	0.32	-	-
1-2 Years	-	0.28	-	0.56
2-3 Years	-	0.15	-	0.12
More than 3 years	-	0.27	-	6.09
Sub total	**350.36**	**1.32**	**-**	**6.77**
Total				**358.45**
Less : Allowance for doubtful Trade receivables				8.09
Total Trade Receivables				**350.36**

As at December 31, 2021	Undisputed Trade receivables		Disputed Trade receivables	
	Considered Good	Considered Doubtful	Considered Good	Considered Doubtful
Unbilled	2.87	-	-	-
Not Due	273.47	-	-	-
Less than 6 months	35.21	0.55	-	-
6months - 1 year	0.10	0.33	-	0.23
1-2 Years	-	0.21	-	0.11
2-3 Years	-	0.37	-	0.69
More than 3 years	-	0.18	-	5.18
Sub total	**311.65**	**1.64**	**-**	**6.21**
Total				**319.50**
Less : Allowance for doubtful Trade receivables				7.85
Total Trade Receivables				**311.65**

4.4 Cash and cash equivalents

Particulars	As at December 31, 2022 Rs. in Crores	As at December 31, 2021 Rs. in Crores
Balance with banks		
In current accounts	5.42	11.70
Deposits with original maturity of less than 3 months	368.91	172.53
Investment in overnight funds#	180.17	-
	554.50	**184.23**

These instruments are mandatorily measured at fair value through profit and loss in accordance with Ind AS 109

4.5 Bank Balances other than above

Particulars	As at December 31, 2022 Rs. in Crores	As at December 31, 2021 Rs. in Crores
Deposits with original maturity for less than 12 months	645.00	1,096.99
Earmarked deposit with banks #	2.14	2.08
Unclaimed dividend account and capital reduction (Includes unclaimed amount of Rs.1.22 Crores (December 31, 2021 : Rs. 1.22 Crores) pertaining to capital reduction in earlier years)	16.07	16.91
	663.21	**1,115.98**

Represents deposit placed for payment for acquisition of land

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

4. Financial assets *(Contd.)*

4.6 Long Term investment

Particulars	As at December 31, 2022 Rs. in Crores	As at December 31, 2021 Rs. in Crores
Investments Measured at Fair Value Through Other Comprehensive Income (FVTOCI)	325.00	-
	325.00	**-**

Nature of Instrument Unquoted, Fully Paid up	As at December 31, 2022	
	No. of shares	Total Value Rs. in Crores
0.001% Compulsorily Convertible Preference Shares (FV of Rs 10 each)	63,355.00	324.49
Equity Shares (FV of Rs 10 each)	100.00	0.51
Closing Balance		**325.00**

Break up of financial assets carried at amortized cost

Rs. in Crores

Particulars	Note	As at December 31, 2022	As at December 31, 2021
Loans	4.1	1.09	8.56
Trade receivables	4.3	350.36	311.65
Cash and cash equivalents	4.4	554.50	184.23
Other balances with banks	4.5	663.21	1,115.98
Other financial assets	4.2	27.68	30.73
Long Term Investment	4.6	325.00	-
Total		**1,921.84**	**1,651.15**

The Company has invested Rs 487.50 Crores in Ki Mobility Solutions Pvt. Ltd (Subsidiary of TVS Automobile Solutions Pvt Ltd) through Equity and Compulsory Convertible Preference Shares (CCPS). During the quarter, the first tranche of Rs 325 Crores was invested on 8 December, 2022. The second tranche of Rs 162.5 Crores was invested on 10 January 2023.

5. Income tax assets (net)

Particulars	As at December 31, 2022 Rs. in Crores	As at December 31, 2021 Rs. in Crores
Advance Income tax / tax deducted at source (net of current tax provision)	56.18	60.00
	56.18	**60.00**

6. Deferred tax assets - (net)

Particulars	As at December 31, 2022 Rs. in Crores	As at December 31, 2021 Rs. in Crores
Deferred tax assets (net)	68.55	71.35
	68.55	**71.35**

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

6. Deferred tax assets - (net) *(Contd.)*

Movement in deferred tax assets balances

Rs. in Crores

Particulars	Net balance as at January 1, 2022	Recognised in profit and loss	Recognised in OCI	Net deferred tax asset/ (liability) as at December 31, 2022
Deferred tax asset / (liabilities)				
Property, plant and equipment	37.85	6.72	-	44.57
43B disallowances	12.13	2.87	0.31	15.31
Inventory - obsolete	2.13	0.02	-	2.15
Allowance for doubtful debts	5.09	(0.22)	-	4.87
Other temporary differences	14.15	(12.50)	-	1.65
Deferred tax asset / (liabilities)	**71.35**	**(3.11)**	**0.31**	**68.55**

Movement in deferred tax balances

Particulars	Net balance as at January 1, 2021	Recognised in profit and loss	Recognised in OCI	Net deferred tax asset/ (liability) as at December 31, 2021
Deferred tax asset / (liabilities)				
Property, plant and equipment	30.68	7.17	-	37.85
43B disallowances	12.63	(0.76)	0.26	12.13
Inventory - obsolete	2.64	(0.51)	-	2.13
Allowance for doubtful debts	5.96	(0.87)	-	5.09
Other temporary differences	10.33	3.82	-	14.15
Deferred tax asset / (liabilities)	**62.25**	**8.85**	**0.26**	**71.35**

Income Tax

The major components of income tax expense

Particulars	For the year ended December 31, 2022 Rs. in Crores	For the year ended December 31, 2021 Rs. in Crores
Profit and Loss:		
Current tax (net of Charge / (reversal) of earlier years - Rs. 10.31 Crores (December 31, 2021 : Rs. 0.69 Crores))	274.49	280.03
Deferred tax	3.11	(8.84)
Total Income Tax Expense	**277.60**	**271.19**

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

6. Deferred tax assets - (net) *(Contd.)*

Reconciliation of tax expense and the accounting profit multiplied by domestic tax rate

Particulars	For the year ended December 31, 2022 Rs. in Crores	For the year ended December 31, 2021 Rs. in Crores
Profit before Income tax expense	1,092.75	1,029.28
Tax at the Indian tax rate 25.17% (December 31, 2021 : 25.17%)	275.05	259.07
Item giving rise to difference in tax		
Effect of non-deductible expenses	13.08	11.13
Effect of tax adjustment of earlier years	(10.31)	0.69
Others	(0.22)	0.30
Income tax expense	277.60	271.19

7. Other assets

Particulars	As at December 31, 2022 Rs. in Crores	As at December 31, 2021 Rs. in Crores
Non-Current		
Advance to Customers - Rebate		
- Considered good	15.73	26.78
- Doubtful	-	-
	15.73	**26.78**
Capital advances	4.18	3.22
Prepaid expenses	1.10	4.16
Deposits / balance with statutory / government authorities		
- Considered good	35.66	36.74
- Doubtful	6.86	6.86
	63.53	**77.76**
Less: Allowance for doubtful deposits	6.86	6.86
	56.67	**70.90**
Current		
Advance to Customers - Rebate		
- Considered good	21.61	19.79
- Doubtful	-	1.15
	21.61	**20.94**
Less : Allowance for doubtful advances	-	1.15
	21.61	**19.79**
Prepaid expenses	5.61	5.50
Advance to supplier	12.65	14.21
Other receivables		
Considered good	4.49	4.21
Considered doubtful	-	-
	4.49	**4.21**
Deposits / balance with statutory / government authorities	64.51	64.04
	108.87	**107.75**

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

8. Inventories (lower of cost and net realizable value)

Particulars	As at December 31, 2022 Rs. in Crores	As at December 31, 2021 Rs. in Crores
Raw materials (including stock in transit Rs. 61.08 Crores (December 31, 2021 : Rs. 45.21 Crores)	314.00	296.59
Packing materials (including stock in transit Rs. 0.00 Crores (December 31, 2021 : Rs. 1.41 Crores)	5.69	8.66
Finished goods	146.06	139.11
Traded goods (including stock in transit Rs. 14.46 Crores (December 31, 2021 : Rs. 12.95 Crores)	68.69	47.29
	534.44	**491.65**

Note: The cost of inventories recognised in December 31, 2022 includes Rs. 0.08 Crores in respect of write down of inventories to net realisable value (December 31, 2021 : Rs. 2.03 Crores in respect of reversal write down of inventories)

9. Equity share capital

Particulars	As at December 31, 2022 Rs. in Crores	As at December 31, 2021 Rs. in Crores
Authorized		
990,000,000 equity shares (December 31, 2021 : 990,000,000 equity shares) - Rs. 5/- each)	495.00	495.00
	495.00	**495.00**
Issued, subscribed and fully paid-up		
989,122,384 equity shares (December 31, 2021 : 989,122,384 equity shares) - Rs. 5/- each)	494.56	494.56
	494.56	**494.56**

a. Reconciliation of the equity shares outstanding at the beginning and at the end of the year

Particulars	As at December 31, 2022		As at December 31, 2021	
	No. of Shares	Rs. in Crores	No. of Shares	Rs. in Crores
Balance at the beginning of the year	989,122,384	494.56	989,122,384	494.56
Outstanding at the end of the year	989,122,384	494.56	989,122,384	494.56

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

9. Equity share capital *(Contd.)*

b. Terms / rights attached to equity shares

The Company has only one class of equity shares having par value of Rs. 5/- per share (December 31, 2021 : Rs. 5/- per share). Each holder of equity shares is entitled to one vote per share. The dividend proposed by the Board of Directors is subject to the approvals of the shareholders in the ensuing Annual General Meeting (AGM). The Company declares and pays dividend in Indian Rupees.

Dividend on Equity Shares	For the year ended December 31, 2022 Rs. in Crores	For the year ended December 31, 2021 Rs. in Crores
Dividend on Equity Shares paid during the year		
Final Dividend Rs. 3.00 per share for the year December 31, 2021 (December 31, 2020 : Rs. 3.00 per share)	296.73	296.73
Interim Dividend Rs. 3.00 per share for the year December 31, 2022 (December 31, 2021 : Rs. 2.50 per share)	296.73	247.28

The Board of Directors of the Company has at its meeting held on February 13, 2023 recommended a final dividend of Rs. 3.50 per share for year ended December 31, 2022 (December 31, 2021 : Rs. 3.00 per share) which is subject to the approval of the Members at the ensuing Annual General Meeting.

In the event of the Company being liquidated, since the equity shares of the Company are fully paid - up, there would be no additional liability on the shareholders of the Company. However, post settlement of the liabilities of the Company, the surplus, if any, would be distributed amongst the shareholders in proportion to the number of shares held by each one of them.

c. Equity shares in the Company held by its holding/ultimate holding company and/or their subsidiaries/ associates are as below:

Particulars	As at December 31, 2022 Rs. in Crores	As at December 31, 2021 Rs. in Crores
Castrol Limited, U.K. 504,452,416 equity shares of Rs. 5/- each fully paid [December 31, 2021 : 504,452,416 equity shares of Rs. 5/- each fully paid (Holding Company)]	252.22	252.22

d. Aggregate number of bonus shares issued, for consideration other than cash during the period of five years immediately preceding the balance sheet date:

Equity shares allotted as fully paid bonus shares by capitalisation of general reserve and retained earnings	As at December 31, 2022 No. of Shares	As at December 31, 2021 No. of Shares
The Company had issued and allotted bonus equity shares of Rs.5/- each, on December 26, 2017	494,561,192	494,561,192
	494,561,192	**494,561,192**

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

9. Equity share capital *(Contd.)*

e. Details of shareholders holding more than 5% shares in the company are as below:

Particulars	As at December 31, 2022		
	No. of Shares	% holding in the class	% Change during the year
1. Castrol Limited, U.K.	504,452,416	51.00%	0.00%
2. Life Insurance Corporation of India	111,689,381	11.29%	-0.04%

Particulars	As at December 31, 2021		
	No. of Shares	% holding in the class	% Change during the year
1. Castrol Limited, U.K.	504,452,416	51.00%	0.00%
2. Life Insurance Corporation of India	112,127,182	11.34%	7.22%

f. Share held by promoters/promoters group at the end of the year

Particulars	As at December 31, 2022	As at December 31, 2021	% Change during the year
Castrol Limited, U.K. (No. of shares)	504,452,416	504,452,416	0.00%

As per records of the Company, including its register of shareholders/ members and other declarations received from shareholders regarding beneficial interest, the above shareholding represents both legal and beneficial ownership of shares.

10. Other Equity**

Particulars	As at December 31, 2022 Rs. in Crores	As at December 31, 2021 Rs. in Crores
Share based payment ##	61.53	41.75
Capital Reserve #	13.62	13.62
Retained Earnings @	1,316.32	1,095.58
	1,391.47	**1,150.95**

Share value plan of Ultimate Holding Company (refer note 2.5(2) (d) of significant accounting policies)

Capital Reserve mainly represents amount transferred on amalgamation with erstwhile Tata BP Lubricants

** For movement, refer Statement of Changes in Equity

@ Retained earnings represents profit that a Company has earned to date, less any dividends or other distributions paid to the investor.

11. Financial Liabilities

11.1 Trade payables # (Refer note 28)

	As at December 31, 2022 Rs. in Crores	As at December 31, 2021 Rs. in Crores
Current		
Total outstanding dues of micro enterprises and small enterprises (Refer note 26)	23.50	23.93
Total outstanding dues of creditors other than micro enterprises and small enterprises	655.36	596.72
	678.86	**620.65**

Trade payables are non-interest bearing and are normally settled between 7 to 90 days credit terms

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

11. Financial Liabilities *(Contd.)*

As at 31st December 2022

Outstanding for the following period from the due date of payment

Ageing	MSME	Others	Disputed dues MSME	Disputed dues Others
Less than 1 Year	0.39	19.21	-	0.50
1-2 Years	0.01	2.23	-	0.27
2-3 Years	-	0.01	-	0.50
More than 3 Years	-	0.01	-	6.45
Not due	23.10	84.03	-	-
Unbilled	-	542.15	-	-
Sub Total	**23.50**	**647.64**	**-**	**7.72**
Total Trade Payables				**678.86**

As at 31st December 2021

Outstanding for the following period from the due date of payment

Ageing	MSME	Others	Disputed dues MSME	Disputed dues Others
Less than 1 Year	0.28	24.48	-	0.27
1-2 Years	0.04	0.28	-	0.50
2-3 Years	0.01	0.01	-	1.40
More than 3 Years	-	0.02	-	5.06
Not due	23.60	74.55	-	-
Unbilled	-	490.15	-	-
Sub Total	**23.93**	**589.49**	-	**7.23**
Total Trade Payables				**620.65**

11.2 Other financial liabilities

Financial liabilities at amortized cost

Particulars	As at December 31, 2022 Rs. in Crores	As at December 31, 2021 Rs. in Crores
Current		
Deposit from customers #	29.51	25.82
Employee benefits payable	33.38	37.27
Capex payables	40.47	44.77
Interest accrued and due on deposit from customers	0.66	0.57
Rebate payables	190.37	168.65
Corporate social responsibility	-	0.09
Unclaimed dividend account and capital reduction (Includes unclaimed amount of Rs.1.22 Crores (December 31, 2021 : Rs. 1.22 Crores) pertaining to capital reduction in earlier years)##	16.07	16.91
Derivative instruments at fair value through Profit or loss		
Derivatives not designated as hedges		
Foreign exchange forward contracts*	-	1.83
	310.46	**295.91**

* While the Company entered into forward contracts with the intention of reducing the foreign exchange risk of expected purchases, these contracts are not designated in hedge relationships and are measured at fair value through profit or loss.

Deposit from customers are interest bearing and repayable on termination of agreement unless otherwise agreed

'The Company has transferred the amounts required to be transferred to the Investor Education and Protection Fund within due date. The company has not transferred an amount of Rs. 0.14 Crores, accumulated over the years as dividends held in abeyance, for cases where disputes relating to ownership of the underlying shares have remained unresolved. There are no other amounts due for payment to the IEPF under Section 125 of the Companies Act, 2013 as at the year end

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

12. Provisions

Particulars	As at December 31, 2022 Rs. in Crores	As at December 31, 2021 Rs. in Crores
Non Current		
Provision for employee benefit (Refer note 27)	18.73	18.50
	18.73	**18.50**
Current		
Provision for employee benefit (Refer note 27)	0.61	0.06
Provision for indirect taxes (Refer note (a) and (c) below)	31.77	31.38
Provision for litigations (Refer note (b) and (c) below)	1.61	1.61
	33.99	**33.05**

(a) Movement in Provision for Indirect Taxes:

Particulars	For the year ended December 31, 2022 Rs. in Crores		For the year ended December 31, 2021 Rs. in Crores	
	Excise, Customs and Service tax	Sales Tax, VAT and GST	Excise, Customs and Service tax	Sales Tax, VAT and GST
Balance as at January 1	2.70	28.68	6.54	26.97
Addition during the year	-	1.77	-	4.22
Reversed / Paid during the year	-	1.38	3.84	2.51
Balance as at Dec 31	**2.70**	**29.07**	**2.70**	**28.68**
Total		**31.77**		**31.38**

(b) There has been no movement in provisions for litigations during the year.

(c) The Company has made provision for known litigation cases and pending assessments in respect of taxes, duties and other levies, the outflow of which would depend on cessation of respective events.

13. Current tax liabilities (net)

Particulars	As at December 31, 2022 Rs. in Crores	As at December 31, 2021 Rs. in Crores
Provision for tax (net of advance tax and tax deducted at source)	12.85	15.85
	12.85	**15.85**

14. Other liabilities

Particulars	As at December 31, 2022 Rs. in Crores	As at December 31, 2021 Rs. in Crores
Non Current		
Advance Rebate from Supplier	3.79	5.68
	3.79	**5.68**
Current		
Statutory dues	50.57	44.43
Advance from customers	5.09	8.06
Deferred revenue	18.69	9.66
	74.35	**62.15**

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

15. Revenue from operations#

Particulars	For the year ended December 31, 2022 Rs. in Crores	For the year ended December 31, 2021 Rs. in Crores
Revenue from operations		
Sale of products ([net of rebates Rs. 479.71 Crores] December 31, 2021 : Rs. 435.62 Crores)	4,759.80	4,178.24
Other operating revenue		
Income from services	9.24	9.24
Scrap sale	5.45	4.58
Revenue from operations	**4,774.49**	**4,192.06**

In case of sale of goods, the Company satisfies its performance obligation upon delivery, which is based on the terms agreed with the customer, and for the sale of services, the performance obligation is satisfied as and when the services are rendered. The Company does not have any remaining performance obligations as contracts entered for sale of goods are for shorter duration. There are no contract for sale of services wherein, performance obligation is unsatisfied to which transaction price has been allocated. The Company disaggregated revenues from contracts with customers by geography. Refer Note 24 below.

16. Other income

Particulars	For the year ended December 31, 2022 Rs. in Crores	For the year ended December 31, 2021 Rs. in Crores
Interest income on financial assets carried at amortized cost		
From bank deposits	44.89	36.04
Others	0.41	0.29
Excess accruals written back	1.17	1.50
Gain on overnight funds**	6.91	-
Allowance for doubtful debts written back (net)	-	1.31
Profit on fair valuation of forward contract	2.86	-
Net gain on termination of lease contracts	-	0.01
Miscellaneous income *	10.81	9.28
	67.05	**48.43**

* Includes service rendered to related parties of Rs. 10.69 Crores (December 31, 2021 : Rs. 9.22 Crores)
**These instruments are measured at fair value through profit and loss in accordance with Ind AS 109

17.1 Cost of raw and packing materials consumed

	For the year ended December 31, 2022 Rs. in Crores	For the year ended December 31, 2021 Rs. in Crores
Raw materials and packing materials consumed		
Inventory at the beginning of the year	305.25	192.58
Add : Purchases during the year	2,293.31	1,991.75
	2,598.56	**2,184.33**
Less : Inventory at the end of the year	319.69	305.25
Total raw materials and packing materials consumed	**2,278.87**	**1,879.08**

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

17.2 Purchase of traded goods

Particulars	For the year ended December 31, 2022 Rs. in Crores	For the year ended December 31, 2021 Rs. in Crores
Purchase of traded goods	249.40	191.85
	249.40	**191.85**

17.3 Changes in inventories of finished goods / traded goods

Particulars	For the year ended December 31, 2022 Rs. in Crores	For the year ended December 31, 2021 Rs. in Crores
Inventories at the end of the year		
Traded goods	68.69	47.29
Finished goods	146.06	139.11
	214.75	**186.40**
Inventories at the beginning of the year		
Traded goods	47.29	38.09
Finished goods	139.11	136.20
	186.40	**174.29**
Net (Increase) / decrease in inventories of finished / traded goods	**(28.35)**	**(12.11)**

18. Employee benefits expense

Particulars	For the year ended December 31, 2022 Rs. in Crores	For the year ended December 31, 2021 Rs. in Crores
Salaries and wages	225.95	189.55
Share based payments	21.12	19.39
Contribution to provident and other funds	16.77	16.35
Staff welfare expenses	8.74	6.70
	272.58	**231.99**

19. Finance costs

Particulars	For the year ended December 31, 2022 Rs. in Crores	For the year ended December 31, 2021 Rs. in Crores
Interest on financial liabilities carried at amortized cost	1.25	1.11
Interest on income tax	0.31	-
Interest on lease liabilities	2.45	1.30
	4.01	**2.41**

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

20. Depreciation and amortization expense

Particulars	For the year ended December 31, 2022 Rs. in Crores	For the year ended December 31, 2021 Rs. in Crores
Depreciation of property plant and equipment (refer note 3)	67.90	68.40
Depreciation of Right-of-use asset	11.78	12.52
Amortization of intangible assets (refer note 3)	1.71	1.78
	81.39	**82.70**

21. Other expenses

Particulars	For the year ended December 31, 2022 Rs. in Crores	For the year ended December 31, 2021 Rs. in Crores
Rent	1.65	3.38
Rates and taxes	1.63	2.66
Power and fuel	6.21	5.70
Stores and consumables	2.49	2.22
Freight and forwarding charges	141.44	133.26
Insurance	7.76	6.73
Repairs and maintenance		
Land and buildings	5.69	3.60
Plant and equipment	8.54	8.40
Others	21.13	20.51
Allowance for doubtful debts (net)	0.29	-
Processing and filling charges	17.05	16.95
Advertising	130.21	141.75
Stock point operating charges	39.65	40.19
Loss on disposal/write off of Property, plant and equipment and Intangible assets (net)	0.32	0.94
Impairment on property, plant and equipment and intangible assets	6.07	-
Director sitting fees	0.31	0.34
Commission to resident non-whole time Indian directors	0.68	0.68
Royalty	112.44	104.61
Sales promotion fees	201.32	187.98
Travelling expenses	13.53	6.11
Legal, professional fees and contract charges	132.59	107.05
Payment to auditors [Refer note (i) below]	1.72	1.62
Exchange loss (net)	2.34	4.74
Loss on fair valuation of forward contract	-	2.16
Corporate social responsibility [Refer note (ii) below]	20.85	21.23
Miscellaneous expenses	14.98	12.48
	890.89	**835.29**

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

21. Other expenses *(Contd.)*

Particulars			For the year ended December 31, 2022 Rs. in Crores	For the year ended December 31, 2021 Rs. in Crores
Note				
(i)	**Payment to auditor (excluding taxes)**			
	As auditor:			
		Audit fee	1.15	1.05
		Tax accounts and tax audit fees	0.29	0.28
		Limited review	0.20	0.19
		Certification fees	0.03	0.03
		Reimbursement of expenses	0.05	0.07
			1.72	**1.62**
(ii)	**Corporate social responsibility activities**			
	a.	Gross amount required to be spent by the Company during the year.	20.74	21.12
	b.	Amount spent during the year (on purpose other than construction / acquisition of assets controlled by the company) - includes amount spent by implementation agency on behalf of the company and direct expenses.	20.85	20.69
	c.	Amount given to implementation agency (on purpose other than construction / acquisition of assets controlled by the company) during the year and spent within 30 days from the year-end by the implementation agency towards on-going project	-	0.45
	d.	Amount outstanding (payable to implementation /CSR monitoring agency) as at year end for ongoing projects	-	0.09
	e.	Details of related party transactions	N/A	N/A
	f.	Nature of CSR activities:		
		1. Programme for truck drivers - holistic development of truck drivers		
		2. Programme for mechanics - Strengthening skills in the automotive and industrial sectors, with a focus on technology		
		3. Community Development in the areas of operation and presence		
		4. Humanitarian aid		
	g.	Where a provision is made with respect to a liablity incurred by entering into a contractual obligation, the movement in the provision	N/A	N/A

Note: The company will set-off the excess contribution paid during the year amounting to Rs. 0.11 Crores in next 3 years

22. Earnings per share (EPS)

Particulars	For the year ended December 31, 2022 Rs. in Crores	For the year ended December 31, 2021 Rs. in Crores
Profit for the year	815.15	758.09
	No. of Shares	**No. of Shares**
Weighted average number of equity shares in calculating Basic and Diluted EPS	989,122,384	989,122,384
Basic and Diluted earnings per share (Rs.)	8.24	7.66
Nominal value per share (Rs.)	**5.00**	**5.00**

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

23. Leases

Right-of-use assets

Rs. in Crores

Particulars	Land	Buildings	Vehicles	Total
Balance at January 1, 2022	18.07	5.69	0.50	24.26
Additions	-	43.22	10.44	53.66
Less: Deletions	-	-	0.01	0.01
Less: Depreciation	0.91	8.80	2.07	11.78
Balance at December 31, 2022	**17.16**	**40.11**	**8.86**	**66.13**

Particulars	Land	Buildings	Vehicles	Total
Balance at January 1, 2021	19.09	14.52	1.27	34.88
Additions	-	-	2.06	2.06
Less: Deletions	-	-	0.16	0.16
Less: Depreciation	1.02	8.83	2.67	12.52
Balance at December 31, 2021	**18.07**	**5.69**	**0.50**	**24.26**

Lease Liabilities

Particulars	Land	Buildings	Vehicles	Total
Balance at January 1, 2022	0.01	6.17	0.54	6.72
Additions	-	43.22	10.44	53.66
Add: Finance costs	0.02	1.73	0.70	2.45
Less: Deletions	-	-	0.01	0.01
Less: Payments	0.00	10.31	2.56	12.87
Balance at December 31, 2022	**0.03**	**40.81**	**9.11**	**49.95**

Particulars	Land	Buildings	Vehicles	Total
Balance at January 1, 2021	0.77	15.35	1.32	17.44
Additions	-	-	2.06	2.06
Add: Finance costs	0.05	0.92	0.33	1.30
Less: Deletions	-	-	0.16	0.16
Less: Payments	0.81	10.10	3.01	13.92
Balance at December 31, 2021	**0.01**	**6.17**	**0.54**	**6.72**

The table below provides details regarding the contractual maturities of lease liabilities on an undiscounted basis as at December 31, 2022:

Particulars	Rs. in Crores
Less than one year	12.81
Between one and five years	50.65

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

24. Segment information

Operating segments are reported in a manner consistent with the internal reporting provided to the Chief Operating Decision Maker (CODM) of the Company. The CODM is responsible for allocating resources and assessing performance of the operating segments of the Company.

The Company has integrated its organization structure with respect to its automotive and non-automotive business considering that the synergies, risks and returns associated with business operations are not predominantly distinct. The company has aligned its internal financial reporting system in line with the new organization structure. As a result the Company's reportable business segment consists of a single segment of "Lubricants" in terms of Ind AS 108. The Managing Director (Chief Operating Decision Maker) is accountable for leading the growth agenda for an integrated Automotive and Industrial business.

Information by Geographies	For the year ended December 31, 2022 Rs. in Crores	For the year ended December 31, 2021 Rs. in Crores
Revenue		
India	4,748.23	4,164.37
Outside India	26.26	27.69
Total	**4,774.49**	**4,192.06**
Capital expenditure (including capital work-in-progress)		
India	104.48	80.21
Outside India	-	-
Total	**104.48**	**80.21**

	As at December 31, 2022 Rs. in Crores	As at December 31, 2021 Rs. in Crores
Non-current assets		
India	378.22	322.08
Outside India	-	0.04
Total	**378.22**	**322.12**

There are no transactions with single customer which amounts to 10% or more of the Company's revenue for year ended December 31, 2022 and December 31, 2021.

25. (i) Contingent liabilities & commitments

Particulars		As at December 31, 2022 Rs. in Crores	As at December 31, 2021 Rs. in Crores
(a)	**Contingent liabilities [Refer note (i) below]**		
	Claims against the Company not acknowledged as debts:		
	- Income tax matters in dispute under appeal	10.57	10.57
	- Sales tax matter under appeals	29.32	29.93
	- In respect of compensation claimed by third parties / workers / employees	1.09	3.65
	(A)	**40.98**	**44.15**
(b)	**Commitments**		
	- Estimated amount of contracts remaining to be executed on capital account and not provided for (net of advances)	68.68	60.66
	(B)	**68.68**	**60.66**
	Total (A + B)	**109.66**	**104.81**

Note:

The management based on internal assessment/external legal opinion does not expect these demands / claims to succeed. Claims, where the possibility of outflow of resources embodying economic benefits is remote, have not been considered in contingent liability.

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

25. (II) The Company has received following demand orders from Maharashtra Sales Tax Department for disputes relating to the movement of goods from the Plant/ MWHs situated in Maharashtra to the CFAs for sale of goods made by the company in the states other than Maharashtra, where applicable taxes have been paid as per the provisions of law. The department alleged that the movement of goods was to fulfil pre-existing orders in the destination States, and were therefore in the nature of inter-State sales. The Company contends that the movement of goods from Maharashtra was not pursuant to any contract /order from customers in other States hence the understanding of operations/systems recorded in the assessment orders are not factually correct. The Company's tax payment methodology in respect of the goods sold is adequately supported by robust legal grounds/precedents and in Company's opinion the said demands are unjustified. Thus considering the favorable orders from MVAT Tribunal and based on the legal advice the Company has not made any provision in the books for the year ended 31st December 2022 and the possibility of outflow of resources embodying economic benefits is considered to be remote.

Financial Year	Amount of demand (including interest)	Status
2007-08	306.71	The company had received favourable orders from Maharashtra Sales Tax Tribunal (MSTT) against which the department filed appeals in Central Sales Tax Appellate Authority, Delhi (CSTAA). Hearing dates are awaited.
2009-10	255.50	
2010-11	263.63	
2011-12	474.64	
2012-13	578.05	
2013-14	485.22	
2014-15	528.34	
2015-16	510.69	The Company has received favourable order from MSTT.
2016-17	565.00	The Company has filed an appeal at MSTT.Hearing date is awaited.
2017-18 (Apr-17 to Jun-17)	163.47	The company had received favourable order from MSTT against which department had filed the appeal in CSTAA. Hearing date is awaited.
Total	**4,131.25**	

Note: It is not practicable for the Company to estimate the timings of cash outflows, if any, in respect of the above pending resolution of the respective proceedings as it is determinable only on receipt of judgements/decisions pending with various forums/ authorities.

26. Details of dues to micro enterprises and small enterprises as defined under The Micro, Small and Medium Enterprises Development (MSMED) Act 2006*

	Particulars	As at December 31, 2022 Rs. in Crores	As at December 31, 2021 Rs. in Crores
a.	The principal amount and the interest due thereon remaining unpaid to any supplier as at the end of each accounting year		
	- Principal amount due to micro and small enterprises	1.18	0.44
	- Interest due on above	0.20	0.00
b.	The amount of interest paid by the buyer in terms of section 16 of the Micro and Small Enterprise Development Act, 2006, along with the amounts of the payment made to the supplier beyond the appointed day during each accounting year.	-	-
c.	The amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under Micro and Small Enterprise Development Act, 2006.	-	-
d.	The amount of interest accrued and remaining unpaid at the end of each accounting year	0.20	0.00
e.	The amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise for the purpose of disallowance as a deductible expenditure under section 23 of Micro and Small Enterprise Development Act, 2006.	-	-

* The company has initiated the process of identification of suppliers registered under Micro, Small and Medium Enterprises Development Act, 2006, by obtaining confirmations from all suppliers. Information has been collated only to the extent of information received.

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

27 Employee Benefits

I) Defined Contribution Plan

Contribution to Provident and Other Funds' in Note 18 includes Rs. 0.90 Crores (December 31, 2021: Rs. 0.98 Crores) for ESIC and Labour Welfare Fund. Note 21 includes Insurance Rs. 3.68 Crores (December 31, 2021: Rs. 4.24 Crores) for Medical Insurance benefits and post retiral medical benefit scheme. Salaries, wages and bonus in Note 18 includes Rs. 1.33 Crores for share match (December 31, 2021: Rs. 1.39 Crores).

II) Defined Benefit Plan

A) General Description of Defined Benefit Plan

i) Gratuity

The Company operates gratuity plan wherein every employee is entitled to the benefit equivalent to fifteen days/one month salary last drawn for each completed year of service depending on the date of joining. The same is payable on termination of service, retirement or death, whichever is earlier. The benefit vests after five years of continuous service.

The Company has a defined benefit gratuity plan in India (funded).The Company defined benefit gratuity plan is a final salary plan for India employees, which requires contributions to be made to a separately administered fund.

The gratuity plan is governed by the Payment of Gratuity Act, 1972. Under the act, employee who has completed five years of service is entitled to specific benefit. The level of benefits provided depends on the member's length of service and salary at retirement age. The fund has the form of a trust and it is governed by the Board of Trustees, which consists of an equal number of employer and employee representatives. The Board of Trustees is responsible for the administration of the plan assets and for the definition of the investment strategy.

ii) Provident Fund

The Provident Fund (administered by a trust) is a defined benefit scheme whereby the Company deposits amounts determined as a fixed percentage of basic pay to the fund every month. The actuary has provided a valuation and determined the fund assets and obligations as at December 31, 2022. Further, it has been determined that the yield on the investments of the trust is adequate to meet the obligation towards the payment of the interest rate notified by the government.

iii) Pension Benefit to Past Employees

Under the Company's pension scheme, certain categories of employees, on retirement, are eligible for monthly differential pension which is accounted for on an actuarial basis as on the Balance Sheet date.

iv) Compensated absences

The Company has a policy on compensated absences which is applicable to its executives joined upto a specified period and all workers. The expected cost of accumulating compensated absences is determined by actuarial valuation performed by an independent actuary at each Balance Sheet date using projected unit credit method on the additional amount expected to be paid as a result of the unused entitlement that has accumulated at the Balance Sheet date.

B) The plans in India typically expose the Company to actuarial risks such as: investment risk, interest rate risk, longevity risk and salary risk.

Investment risk	The present value of the defined benefit plan liability is calculated using a discount rate determined by reference to government bond yields; if the return on plan asset is below this rate, it will create a plan deficit. Currently the plan has a relatively balanced investment in equity securities and debt instruments.
Interest risk	A decrease in the bond interest rate will increase the plan liability; however, this will be partially offset by an increase in the return on the plan's debt investments.
Longevity risk	The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.
Salary risk	The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in the salary of the plan participants will increase the plan's liability.

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

27 Employee Benefits *(Contd.)*

C) Amounts recognized in financial statements respect of these defined benefit plans are as follows:

i) The following tables set out the funded status of the gratuity, pension, compensated absences and provident fund plans and the amounts recognized in the Company's financial statements as at December 31, 2022 and December 31, 2021:

Particulars	As at December 31, 2022				As at December 31, 2021			
	Gratuity	Pension Benefit	Compensated absences	Provident Fund	Gratuity	Pension Benefit	Compensated absences	Provident Fund
	(Funded)	(Non-funded)	(Non-funded)	(Funded)	(Funded)	(Non-funded)	(Non-funded)	(Funded)
Change in the present value of the defined benefit obligation and fair value of plan assets:								
Obligation at period beginning	**51.91**	**1.55**	**1.41**	**221.50**	**57.21**	**1.59**	**1.48**	**215.24**
Current service cost	3.73	(0.20)	-	8.86	3.92	0.08	(0.12)	8.41
Past service cost	-	-	-		-	-	-	
Interest cost	2.95	-	(0.02)	18.89	2.75	-	0.37	17.91
Actuarial (gain) / loss due to change in assumptions	1.84	-	-	-	(2.22)	-	-	-
Experience (gain) / loss on plan liability	(2.21)	-	-	(12.22)	1.60	-	-	(2.66)
Benefits paid and transfer out	(5.92)	-	(0.22)	(24.37)	(7.20)	(0.12)	(0.32)	(34.05)
Contributions by employee	-	-	-	12.53	-	-	-	12.27
Transfer in / (out)	0.26	-	-	4.46	(4.15)	-	-	4.38
Obligation at period end	**52.56**	**1.35**	**1.17**	**229.65**	**51.91**	**1.55**	**1.41**	**221.50**
Change in plan assets								
Plan assets at period beginning, at fair value	**36.36**	**-**	**-**	**221.50**	**41.03**	**-**	**-**	**217.07**
Expected return on plan assets	2.25	-	-	19.02	2.16	-	-	18.07
Experience (gain) / loss on plan assets	(0.04)	-	-	(13.79)	0.32	-	-	(4.64)
Asset gain / (loss)	0.26	-	-	-	(4.15)	-	-	-
Contributions by employer	4.29	-	-	8.86	4.20	-	-	8.41
Contributions by employee	-	-	-	12.53	-	-	-	12.27
Benefits paid	(5.92)	-	-	(24.37)	(7.20)	-	-	(34.05)
Transfer in / (out)	-	-	-	6.00	-	-	-	4.37
Plan assets at period end, at fair value	**37.20**	**-**	**-**	**229.75**	**36.36**	**-**	**-**	**221.50**
Change in the present value of the defined benefit obligation and fair value of plan assets:								
Fair value of plan assets at the end of the period	37.20	-	-	229.75	36.36	-	-	221.50
Present value of the defined benefit obligation at the end of the period	(52.56)	(1.35)	(1.17)	(229.65)	(51.91)	(1.55)	(1.41)	(221.50)
Asset / (liability) recognized in the Balance Sheet	**(15.36)**	**(1.35)**	**(1.17)**	**0.10**	**(15.55)**	**(1.55)**	**(1.41)**	**(0.00)**

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

27 Employee Benefits *(Contd.)*

b) Amount for the year ended December 31, 2022 and December 31, 2021 recognized in the statement of Profit and Loss/capitalised (including amount recovered from group) under employee benefit expenses.

Particulars	For the year ended December 31, 2022				For the year ended December 31, 2021			
	Gratuity	Pension Benefit	Compensated absences	Provident Fund	Gratuity	Pension Benefit	Compensated absences	Provident Fund
	(Funded)	(Non-funded)	(Non-funded)	(Funded)	(Funded)	(Non-funded)	(Non-funded)	(Funded)
Current service cost	3.73	(0.20)	-	8.86	3.92	0.08	(0.12)	8.41
Past service cost	-	-	-	-	-	-	-	-
Net interest cost	2.95	-	(0.02)	18.89	2.75	-	-	17.91
Interest income	(2.25)	-	-	(19.02)	(2.16)	-	0.37	(18.07)
(Gains) / losses - other long term benefits	-	-	-	-	-	-	-	-
Total cost recognised in Profit and Loss	**4.43**	**(0.20)**	**(0.02)**	**8.73**	**4.51**	**0.08**	**0.25**	**8.25**

c) Amount for the year ended December 31, 2022 and December 31, 2021 recognized in the statement of other comprehensive income:

Particulars	As at December 31, 2022				As at December 31, 2021			
	Gratuity	Pension Benefit	Compensated absences	Provident Fund	Gratuity	Pension Benefit	Compensated absences	Provident Fund
	(Funded)	(Non-funded)	(Non-funded)	(Funded)	(Funded)	(Non-funded)	(Non-funded)	(Funded)
Actuarial (Gain) / Loss due to Demographic Assumption changes in DBO	1.37	-	-	-	0.55	-	-	-
Actuarial (Gain) / Loss due to Financial Assumption changes in DBO	(3.94)	-	-	(1.31)	(2.78)	-	-	-
Actuarial (Gain) / Loss due to Experience on DBO	2.21	-	-	(10.90)	1.62	-		(2.67)
Return on Plan Assets (Greater) / Less than Discount rate	0.04	-	-	13.79	(0.33)	-	-	4.66
Total Actuarial (Gain)/Loss included in OCI	**(0.32)**	**-**	**-**	**1.58**	**(0.94)**	**-**	**-**	**1.99**

d) Major Categories of Plan assets are as follows

Provident fund

Rs. in Crores

Particulars	As at December 31, 2022	As at December 31, 2021
The composition of plan assets		
Special Deposit	17.32	17.32
Investment in Government and Debt Securities	193.75	184.95
Investment in Mutual Funds	9.74	7.21
Bank Balance	2.12	4.69
Other receivables	6.82	7.33
Total	**229.75**	**221.50**

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

27 Employee Benefits *(Contd.)*

Gratuity

Rs. in Crores

Particulars	As at December 31, 2022	As at December 31, 2021
The composition of plan assets		
Special Deposits	0.76	0.76
Deposit with insurance schemes	35.33	33.76
Bank Balance	0.36	0.93
Others - Receivables / (Payables)	0.76	0.91
Total	**37.21**	**36.36**

Each year, the Board of Trustees reviews the level of funding in the India gratuity plan. Such a review includes the asset-liability matching strategy and investment risk management policy. This includes employing the use of annuities and longevity swaps to manage the risks. The fair values of the above investments are determined based on prices in active markets. The Board of Trustees decides its contribution based on the results of this annual review. Generally, it aims to have a portfolio mix of equity and debt instruments. The Board of Trustees aim to keep annual contributions relatively stable at a level such that no plan deficits (based on valuation performed) will arise.

e) The significant assumptions used to determine benefit obligations as at December 31, 2022 and December 31, 2021 are set out below:

Particulars	As at December 31, 2022			As at December 31, 2021		
	Gratuity (Funded)	Compensated absences (Non-funded)	Provident Fund (Funded)	Gratuity (Funded)	Compensated absences (Non-funded)	Provident Fund (Funded)
Discount rate	7.38%	7.38%	7.38%	6.20%	6.20%	6.20%
Rate of increase in compensation level	Executives - 10.00% Workers - 4%	Executives - 10.00% Workers - 4%	Executives - 10.00% Workers - 4%	Executives - 10.00% Workers - 4%	Executives - 10.00% Workers - 4%	Executives - 10.00% Workers - 4%
Interest Rate Guarantee	-	-	8.10%	-	-	8.50%

f) Sensitivity Analysis

Particulars	As at December 31, 2022			As at December 31, 2021		
	Gratuity (Funded)	Compensated absences (Non-funded)	Provident Fund (Funded)	Gratuity (Funded)	Compensated absences (Non-funded)	Provident Fund (Funded)
Discount per annum						
a) Increase by 100 basis points	49.60	1.14	228.29	49.20	1.34	215.25
b) Decrease by 100 basis points	55.88	1.48	234.51	54.10	1.48	230.98
Rate of increase in compensation						
a) Increase by 100 basis points	50.17	1.26		54.27	1.48	
b) Decrease by 100 basis points	55.07	1.14		49.67	1.34	
Interest Rate Guarantee						
a) Increase by 100 basis points	-	-	234.33	-	-	230.45
b) Decrease by 100 basis points	-	-	228.29	-	-	215.25

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

27 Employee Benefits *(Contd.)*

The sensitivity analyses above have been determined based on reasonably possible changes of the respective assumptions occurring at the end of the year and may not be representative of the actual change. It is based on a change in the key assumption while holding all other assumptions constant. When calculating the sensitivity to the assumption, the same method used to calculate the liability recognized in the Balance Sheet has been applied. The methods and types of assumptions used in preparing the sensitivity analysis did not change compared with the previous year.

Gratuity plan: Rs. 5.03 Crores (December 31, 2021: Rs 4.52 Crores)

Provident fund: Rs. 9.70 Crores (December 31, 2021: Rs. 4.43 Crores)

g) Maturity profile of defined benefit obligation is as follows

Particulars	As at December 31, 2022		As at December 31, 2021	
	Gratuity (Funded)	Provident Fund (Funded)	Gratuity (Funded)	Provident Fund (Funded)
Year 1	6.36	31.96	8.61	29.67
Year 2	5.68	37.39	5.70	34.72
Year 3	7.48	37.19	5.78	34.53
Year 4	4.65	35.83	6.87	33.27
Year 5	6.47	23.96	4.40	22.24
Year 6 - 10	21.92	63.32	20.55	67.07

28. Related party disclosures as required under Ind AS - 24, "Related Party Disclosures" are given below:

A. Name of the related party and nature of relationship where control exist

a) Holding companies

Castrol Limited, U.K . (Holding Company of Castrol India Limited)
Burmah Castrol PLC (Holding Company of Castrol Limited, U.K.)
BP PLC (Holding Company of Burmah Castrol PLC), Ultimate Holding Company

B. Name of the related party and nature of relationship where transaction have taken place

a) Fellow subsidiaries (where transaction exists)

AsPac Lubricants (Malaysia) Sdn. Bhd.
BP - Castrol (Thailand) Limited
BP (China) Industrial Lubricants Limited
BP Castrol KK
BP Corporation North America
Castrol Germany GmbH (formerly as BP Europa SE)
Castrol Belgium BV
BP Exploration (Alpha) Limited
BP France Lubes
BP International Limited
BP Italia SPA
BP Japan K.K
BP Korea Limited
BP Australia Pty Limited
BP Lubricants USA Inc
BP Marine Limited
BP Shipping Limited - OBC UK
BP Singapore Commercial
BP Singapore Pte Limited
Castrol (Shenzhen) Company Limited
Lubricants UK Limited
BP Products North America Inc
Castrol (Shanghai) Management Co.
Bp India Private Ltd
BP Business solutions India Pvt ltd
Castrol BP Petco limited

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

28. Related party disclosures as required under Ind AS - 24, "Related Party Disclosures" are given below: *(Contd.)*

B. Name of the related party and nature of relationship where transaction have taken place *(Contd.)*

b)	Joint venture of BP Global Investment Limited, a subsidiary of Ultimate Holding Company	Reliance BP Mobility Limited (RBML) RBML Solutions India Limited (Subsidiary of RBML)	
c)	Post employment benefit funds	Castrol India Ltd. Employees' Provident Fund Castrol India Ltd. Staff Pension Fund Castrol India Ltd. Employees' Gratuity Fund	
d)	Key management personnel (where transaction exists)	Sandeep Sangwan Deepesh Baxi Saugata Basuray Mayank Pandey	Managing Director Chief Financial Officer & Whole time Director Wholetime Director (w.e.f 01.04.2022) Whole time Director - Supply Chain (w.e.f 09.08.2021)
e)	Non-executive Independent Directors*	Rakesh Makhija Uday Khanna	R. Gopalakrishnan Sangeeta Talwar
f)	Non-executive non-Independent Directors *	Sashi Mukundan Udayan Sen	A. S. Ramchander (Till 30.09.2022) Nicola Buck (w.e.f 09.11.2022)

* Non-executive directors are disclosed as Key Management Personnel as per the requirement of Ind AS 24. However, they are not Key Management Personnel as per Companies Act, 2013.

B. Transactions with related parties

Particulars	Nature of Relationship	For the year ended December 31, 2022 Rs. in Crores	For the year ended December 31, 2021 Rs. in Crores
Purchase of materials / traded goods *#			
Castrol Germany GmbH (formerly as BP Europa SE)	Fellow subsidiary	29.23	28.73
Castrol Belgium BV	Fellow subsidiary	18.37	18.25
BP France	Fellow subsidiary	8.21	8.42
BP Products North America Inc	Fellow subsidiary	-	17.19
BP Lubricants USA Inc	Fellow subsidiary	11.69	6.20
Bp China Industrial Lubricants Ltd.	Fellow subsidiary	5.82	-
Others	Fellow subsidiaries	2.42	5.14
Total		**75.74**	**83.93**

* During the year December 31, 2021, the Company has procured 2.52 million units of Biomas Graphene Face masks free of cost from BP Europe SE, and 1.26 million masks from the said procurement have been distributed free of cost to BP India Private Limited by the Company, based on approval of the board of directors of the Company in its meeting held on June 18, 2021.

During the year December 31, 2022, the Company has purchased 300 monitors free of Cost from BP Business Solutions Pvt Ltd and Network hardware Equipment at nominal value (GBP 1) from Castrol UK limited, based on approval from Board of Directors of the company in its meeting held on April 26, 2021 & October 31, 2022 respectively.

Sale of goods (net of returns) / Other operating income			
Reliance BP Mobility Limited	Joint venture of BP Global Investment Limited, a subsidiary of Ultimate Holding Company	10.28	19.54
Castrol (Shanghai) Management Co.	Fellow subsidiary	1.13	1.17
BP - Castrol (Thailand) Limited	Fellow subsidiary	1.04	0.44
Castrol BP Petco limited	Fellow subsidiary	9.14	20.50
Others	Fellow subsidiaries	0.88	0.13
Total		**22.47**	**41.78**

NOTES TO THE FINANCIAL STATEMENTS for the year ended December 31, 2022

28. Related party disclosures as required under Ind AS - 24, "Related Party Disclosures" are given below: *(Contd.)*

B. Transactions with related parties *(Contd.)*

Particulars	Nature of Relationship	For the year ended December 31, 2022 Rs. in Crores	For the year ended December 31, 2021 Rs. in Crores
Receiving of services			
BP International Limited	Fellow subsidiary	9.70	6.73
Castrol Germany GmbH (formerly as BP Europa SE)	Fellow subsidiary	0.79	1.83
Lubricants UK Limited	Fellow subsidiary	2.35	0.18
BP Business Solutions India Private Limited	Fellow subsidiary	15.18	5.50
Others	Fellow subsidiaries	0.68	0.31
Total		**28.70**	**14.55**
Rendering of services (Including reimbursement of expenses)			
Castrol Limited, U.K	Holding company	3.33	2.51
BP International Limited	Fellow subsidiary	0.69	3.75
BP India Private Limited	Fellow subsidiary	6.55	4.53
Lubricants UK Limited	Fellow subsidiary	1.00	-
BP Singapore Pte Limited	Fellow subsidiary	-	0.76
Others	Fellow subsidiaries	1.23	1.29
Total		**12.80**	**12.84**
Contribution to funds			
Castrol India Ltd. Employees' Provident Fund	Post employment benefit funds	8.86	8.41
Castrol India Ltd. Staff Pension Fund	Post employment benefit funds	2.84	2.90
Castrol India Ltd. Employees' Gratuity Fund	Post employment benefit funds	4.29	4.21
Total		**15.99**	**15.52**
Disbursement from funds			
Castrol India Ltd. Employees' Provident Fund	Post employment benefit funds	25.20	34.04
Castrol India Ltd. Staff Pension Fund	Post employment benefit funds	4.37	16.15
Castrol India Ltd. Employees' Gratuity Fund	Post employment benefit funds	6.19	7.21
Total		**35.76**	**57.40**
Commission income			
BP Marine Limited	Fellow subsidiary	4.16	3.80
Total		**4.16**	**3.80**
Overridding Commission			
Reliance BP Mobility Limited	Joint venture of BP Global Investment Limited, a subsidiary of Ultimate Holding Company	1.94	4.18
Total		**1.94**	**4.18**
Dividend (On payment Basis)			
Castrol Limited, U.K.	Holding company	302.67	277.45
Total		**302.67**	**277.45**
Royalty expense			
Castrol Limited, U.K.	Holding company	112.44	104.61
Total		**112.44**	**104.61**
Share value and share match payments *			
BP PLC	Ultimate Holding Company	21.12	19.39
Total		**21.12**	**19.39**

* Share value expenses to be borne by BP PLC